

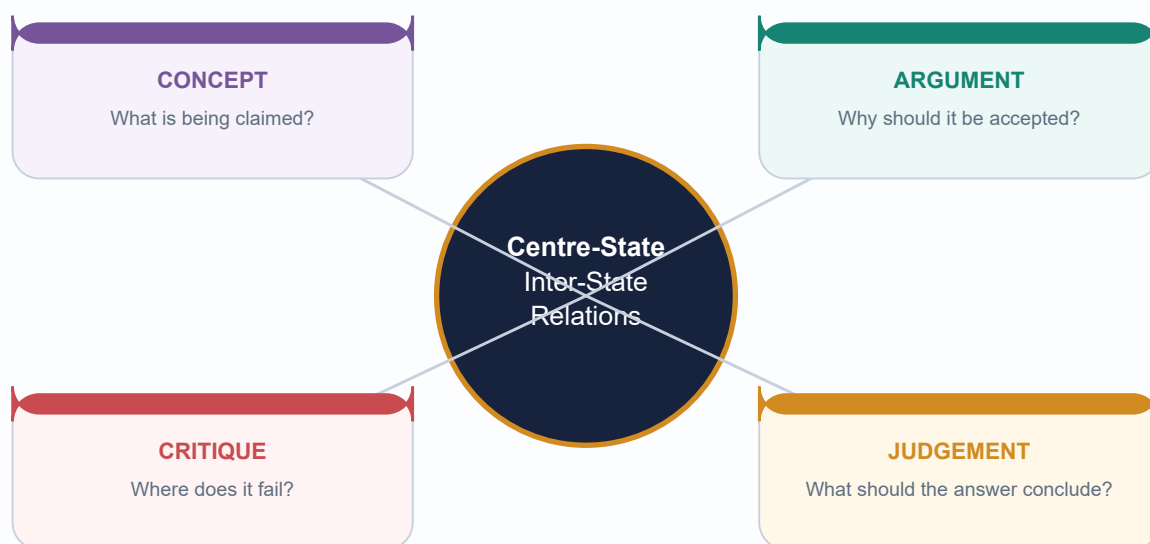
UPSC GS-II POLITY

Centre-State and Inter-State Relations

Subject: Indian Polity | GS Paper: GS-II

Session-Level Learning PDF - Centre-State & Inter-State Relations (Art 245-263, 268-293, 301-307)

Grounded in M. Laxmikant, Indian Polity Ch. 14-15 + verified current-affairs and PYQ anchors



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

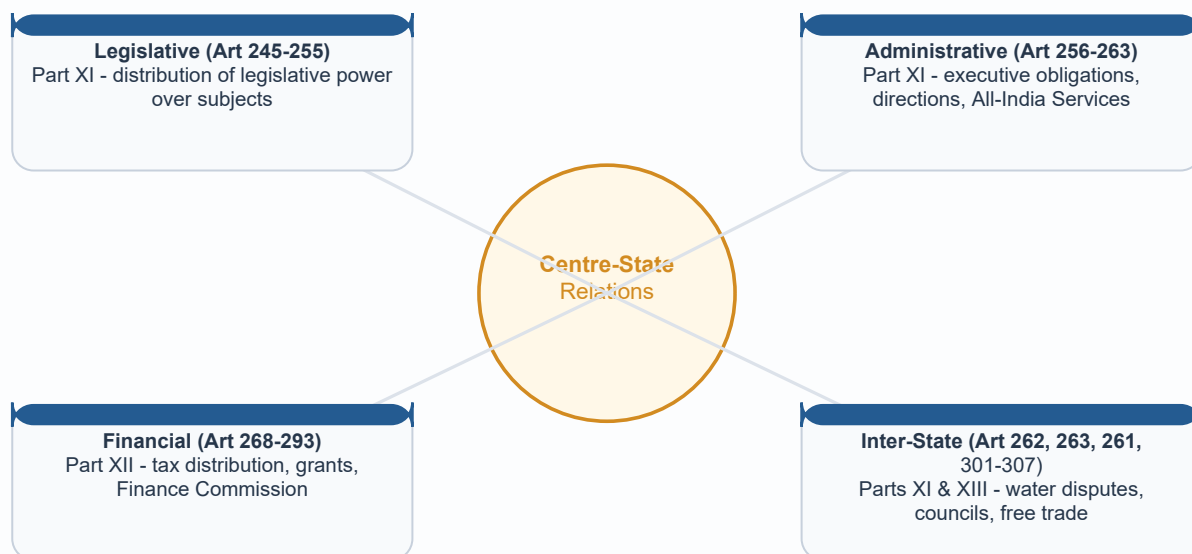
1. Three Dimensions of Centre-State Relations

GS-II Polity -
Centre-State
Relations

INTRO & ORIGIN

Centre-state relations are studied under three dimensions - legislative, administrative and financial - plus a fourth strand of inter-state relations.

FOUR STRANDS OF CENTRE-STATE RELATIONS



KEY DATA

Dimension	Articles	Part
Legislative	245-255	XI
Administrative	256-263	XI
Financial	268-293	XII
Inter-State	262, 263, 261, 301-307	XI & XIII

MEMORY HOOK

L-A-F-I: Legislative, Administrative, Financial, Inter-State - the four-part map of Centre-state relations.

MAINS ANGLE

Use this four-part map to structure any Centre-state-relations answer before drilling into specifics.

STUDY LINK

This module is the master index for Modules 2-14 below.

HIGH

2. Legislative Relations: Territorial Extent and the Seventh Schedule

GS-II Polity -
Legislative
Relations

INTRO & ORIGIN

Legislative relations rest on four aspects: territorial extent, distribution of subjects, Parliament's power in the state field, and Centre's control over state legislation.

KEY DATA

List	Subjects	Note
Union List	98	Predominant list
State List	59	Ordinarily exclusive to states
Concurrent List	52	Both can legislate; Central law prevails in conflict

STATIC THEORY

- Parliament can legislate for the whole or any part of India, and also extraterritorially (over Indian citizens and property anywhere); a state legislature can normally legislate only for its own territory unless there is sufficient nexus.
- Exceptions to Parliament's law applying uniformly: President's regulations for 5 Union Territories (Andaman & Nicobar, Lakshadweep, Dadra & Nagar Haveli and Daman & Diu, Ladakh); a Governor may bar an Act's application in scheduled/tribal areas.
- The 42nd Amendment (1976) shifted 5 subjects from State to Concurrent: education, forests, weights & measures, protection of wild animals & birds, and administration of justice.
- Predominance order: Union > Concurrent > State. In a Concurrent-List conflict, the Central law prevails, unless the state law was reserved for and received the President's assent (then it prevails in that state, but Parliament can still override it later).

MUST-KNOW FACTS

1. Sarkaria Commission: federal supremacy is 'a technique to avoid absurdity, resolve conflict.'

UPSC TRAPS

WRONG: The 42nd Amendment moved subjects from Concurrent to State.

CORRECT: It moved 5 subjects from State to Concurrent.

MAINS ANGLE

Does the Centre's predominance in the Concurrent List undermine cooperative federalism in practice?

STUDY LINK

Cross-link 12_Federal-System Module 2 for the full Seventh Schedule subject-count architecture.

HIGH

3. Parliament's Power over the State List - 5 Extraordinary Situations

GS-II Polity -
Legislative
Relations

5 WAYS PARLIAMENT CAN LEGISLATE ON A STATE SUBJECT



MEMORY HOOK

R-N-S-I-P: Rajya Sabha resolution (249) - National Emergency (250) - States' request (252) - International agreement (253) - President's Rule (356).

MUST-KNOW FACTS

1. Article 249's Rajya Sabha resolution requires a two-thirds majority of members present and voting.

UPSC TRAPS

WRONG: Article 249 requires a national emergency.

CORRECT: It needs only a Rajya Sabha two-thirds resolution - no emergency is required.

MAINS ANGLE

Should the Article 249 route (Rajya Sabha resolution) be used more sparingly to preserve state legislative autonomy?

STUDY LINK

Cross-link 14_Emergency-Provisions for Art 250 and Art 356 mechanics.

HIGH

4. Centre's Control over State Legislation

GS-II Polity -
Legislative
Relations

KEY DATA

Mechanism	Effect
Governor reserves a bill	Bill goes to the President for assent, withholding, or return
President's absolute veto	A reserved bill can be permanently vetoed, unlike a suspensive veto
Prior sanction requirement	Certain State List bills need the President's prior sanction before introduction
Financial emergency reservation	State money bills stand reserved for the President's consideration

STATIC THEORY

- A Governor may reserve a state bill for the President's consideration; the President can exercise an absolute veto over such a reserved bill.
- Some State-List bills need the President's prior sanction before introduction; during a financial emergency, money bills passed by a state legislature are reserved for the President's consideration.
- The Sarkaria Commission described federal supremacy over state legislation as 'a technique to avoid absurdity, resolve conflict.'

MUST-KNOW FACTS

1. The President's veto over a reserved state bill is absolute, not suspensive.

MAINS ANGLE

Is the President's absolute veto over reserved state bills compatible with cooperative federalism?

STUDY LINK

Cross-link Module 11 (Governor Assent Doctrine) for the 2025 case law on assent delays.

HIGH

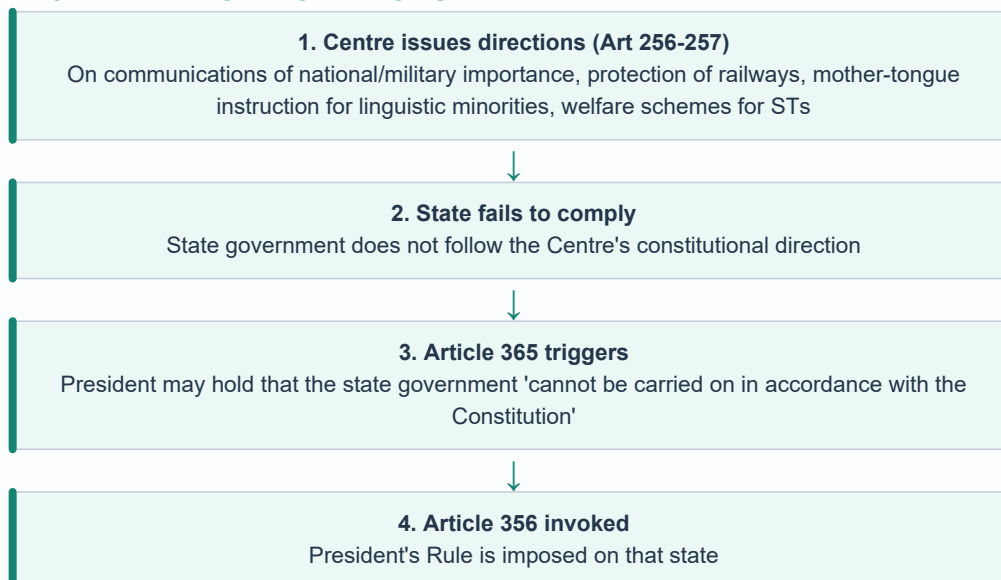
5. Administrative Relations: Directions, Art 365, and All-India Services

GS-II Polity -
Administrative
Relations

INTRO & ORIGIN

Executive power is divided along legislative lines, with two obligations on states under Articles 256-257: (a) comply with Central laws, (b) do not impede the Centre's executive power.

FROM NON-COMPLIANCE TO PRESIDENT'S RULE



STATIC THEORY

- Mutual delegation of executive functions: President can delegate to a state (with its consent); a Governor can delegate to the Centre (with consent). The Centre can impose duties on states by parliamentary law without state consent - a state cannot do the reverse.
- All-India Services (Art 312): IAS, IPS, and the Indian Forest Service (IFoS, created 1966) - not the Indian Foreign Service. Creating a new All-India Service needs a Rajya Sabha resolution.
- Ambedkar defended the All-India Services for staffing 'strategic posts'; they are recruited and trained by the Centre, but ultimate control rests with the Centre while immediate control rests with the state.
- Article 355 places a duty on the Centre to protect states against external aggression and internal disturbance, and to ensure governance in accordance with the Constitution.
- Cooperation devices: inter-state water dispute adjudication (Art 262), the Inter-State Council (Art 263, set up 1990), and Full Faith and Credit (Art 261).

MUST-KNOW FACTS

1. The Indian Forest Service (IFoS) was created in 1966 and is often confused with the Indian Foreign Service.
2. A new All-India Service can be created only through a Rajya Sabha resolution under Article 312.

UPSC TRAPS

- WRONG:** IFoS refers to the Indian Foreign Service.
- CORRECT:** IFoS is the Indian Forest Service, created in 1966.

MAINS ANGLE

Do the All-India Services strengthen national administrative unity, or do they compromise state autonomy?

STUDY LINK

Cross-link 41_Public-Services for full All-India Services architecture and recruitment.

HIGH

6. Financial Relations: Tax Distribution (Articles 268-271)

GS-II Polity -
Financial
Relations

INTRO & ORIGIN

Taxing power must be expressly conferred; the Concurrent List has no general tax entry. The Union List has 13 tax entries and the State List 18; residuary taxing power rests with Parliament. GST's shared legislative competence flows from the special rule in Article 246-A (101st Amendment), not from a Concurrent-List entry.

KEY DATA

Article	Category
268	Levied by the Centre, collected and appropriated by states (e.g. stamp duties)
269	Levied and collected by the Centre, assigned to states (e.g. inter-state trade taxes)
269-A	GST on inter-state trade - levied/collected by the Centre, shared per GST Council recommendation
270	Levied and collected by the Centre, distributed between Centre and states per the Finance Commission
271	Surcharge for the Centre's purposes - states get no share; GST is exempt

STATIC THEORY

- The professional tax cap under the Constitution is Rs 2,500 per annum.
- The 80th Amendment (2000) implemented the 'Alternative Scheme of Devolution' recommended by the Tenth Finance Commission.
- The 101st Amendment (2016) introduced GST, subsuming Central taxes (excise, service tax, CVD) and State taxes (VAT, entry/octroi, luxury, entertainment) - removing cascading and creating one national market.

MEMORY HOOK

268 keeps it local, 269 assigns it, 269-A shares GST, 270 splits via Finance Commission, 271 surcharges only for the Centre.

MUST-KNOW FACTS

1. Grants: statutory grants (Art 275, on Finance Commission recommendation) and discretionary grants (Art 282, for any public purpose, at the Centre's discretion).

UPSC TRAPS

WRONG: GST's shared taxing power comes from a Concurrent-List entry.

CORRECT: It comes from the special provision in Article 246-A (101st Amendment).

MAINS ANGLE

Has Article 282's discretionary-grant route given the Centre disproportionate leverage over states?

STUDY LINK

Cross-link Module 7 (Finance Commission) and Module 8 (GST Council) for how these tax articles are operationalised.

HIGH

7. Finance Commission (Article 280)

GS-II Polity -
Financial
Relations

NEWS TRIGGER

The 16th Finance Commission, chaired by Arvind Panagariya, submitted its report on 17 Nov 2025; its recommendations cover 2026-31 and took effect from 1 Apr 2026. The government retained vertical devolution at 41% and accepted a horizontal formula including Contribution to GDP (10%). (Official status checked 21 Jul 2026 against the Sixteenth Finance Commission report and Union Government action-taken material.)

INTRO & ORIGIN

The Finance Commission (Art 280) is a constitutional and periodic body - constituted every fifth year or earlier - described by Laxmikant as quasi-judicial and the 'balancing wheel of fiscal federalism.'

KEY DATA

Item	Detail
Constitutional basis	Article 280
Nature	Constituted every fifth year or earlier; described as quasi-judicial
Role	'Balancing wheel of fiscal federalism' (Laxmikant)
16th FC Chair	Arvind Panagariya
16th FC report	Submitted 17 Nov 2025; award period 2026-27 to 2030-31, effective 1 Apr 2026
Vertical devolution	Retained at 41%
Horizontal formula addition	Contribution to GDP (10%)

MUST-KNOW FACTS

1. The Finance Commission is constitutional and periodic, not permanent - it is reconstituted every fifth year or earlier as needed.

UPSC TRAPS

WRONG: The Finance Commission is a permanent standing body.

CORRECT: It is constituted every fifth year or earlier; 'quasi-judicial' is a descriptive label, not the Constitution's own classification.

MAINS ANGLE

'The Finance Commission is the balancing wheel of fiscal federalism.'
Examine amid the 16th FC's devolution debates.

STUDY LINK

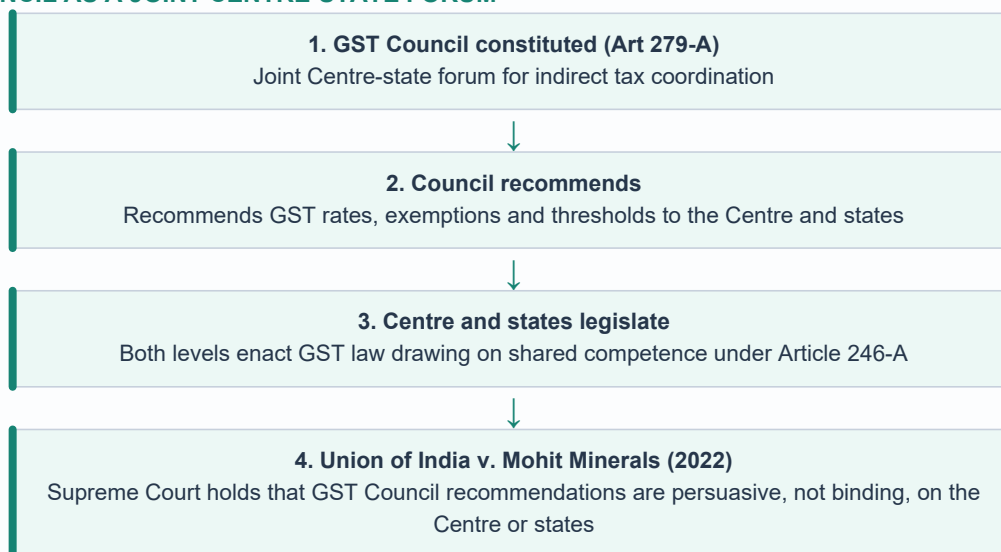
Cross-link 29_Finance-Commission for the full composition, qualifications and functions of the Commission.

HIGH**8. GST Council (Article 279-A)**

GS-II Polity -
Financial
Relations

NEWS TRIGGER

Live GST Council frictions include the end of the compensation cess, rate rationalisation, and the voting-vs-consensus debate following Mohit Minerals (2022), where the Supreme Court held that GST Council recommendations are persuasive, not binding - reaffirming fiscal federalism.

GST COUNCIL AS A JOINT CENTRE-STATE FORUM**MUST-KNOW FACTS**

1. GST Council recommendations are persuasive, not legally binding, per Union of India v. Mohit Minerals (2022).

UPSC TRAPS

WRONG: GST Council recommendations bind the Centre and states.

CORRECT: They are persuasive only (Mohit Minerals, 2022).

MAINS ANGLE

Does the 'persuasive, not binding' status of GST Council recommendations strengthen or weaken cooperative federalism?

STUDY LINK

Cross-link 30_GST-Council for full composition, voting weightage and decision-making procedure.

HIGH

9. Inter-State Water Disputes (Article 262)

GS-II Polity -
Inter-State
Relations

INTRO & ORIGIN

Article 262 allows Parliament to bar even the Supreme Court's jurisdiction over inter-state water disputes. Two laws, both enacted in 1956, govern this: the River Boards Act and the Inter-State Water Disputes Act.

KEY DATA

Tribunal	Year Set Up	States Involved
Cauvery	1990	Karnataka, Kerala, Tamil Nadu, Puducherry
Mahanadi	2018	Odisha, Chhattisgarh
Krishna	-	-
Godavari	-	-
Narmada	-	-
Ravi-Beas	-	-

STATIC THEORY

- Nine tribunals have been set up so far under the Inter-State Water Disputes Act, 1956 to adjudicate river-water disputes.
- A tribunal's decision is final and binding, and Parliament may exclude the Supreme Court's jurisdiction over the dispute entirely.

MUST-KNOW FACTS

1. Both the River Boards Act and the Inter-State Water Disputes Act were enacted in 1956.

UPSC TRAPS

WRONG: The Supreme Court always has jurisdiction over inter-state water disputes.

CORRECT: Article 262 lets Parliament exclude the Supreme Court's jurisdiction over such disputes.

MAINS ANGLE

Inter-state water disputes reveal the limits of India's federal dispute-resolution machinery - should the tribunal system be reformed?

STUDY LINK

Cross-link Module 11 for how federal disputes are resolved through constitutional adjudication more broadly.

HIGH

10. Inter-State Council (Art 263) and Zonal Councils

GS-II Polity -
Inter-State
Relations

KEY DATA

Body	Basis	Chair	Zones/Scope
Inter-State Council	Art 263 (constitutional provision); body set up by executive order, 1990	Prime Minister	All states + 6 Union cabinet ministers
Zonal Councils	Statutory - States Reorganisation Act, 1956	Union Home Minister (common chair); each CM is vice-chair by annual rotation	5 zones - Northern, Central, Eastern, Western, Southern
North-Eastern Council	Separate statute - NEC Act, 1971	-	8 members - 7 NE states + Sikkim (added later)

SETTING UP THE INTER-STATE COUNCIL**STATIC THEORY**

- The Inter-State Council's procedural guidelines envisage at least three meetings a year, held in camera and by consensus; actual practice has been far less regular.
- A Standing Committee of the Inter-State Council was set up in 1996, chaired by the Union Home Minister.

MUST-KNOW FACTS

1. Zonal Councils are statutory bodies under the States Reorganisation Act, 1956 - not constitutional bodies.

UPSC TRAPS

WRONG: Zonal Councils are constitutional bodies.

CORRECT: They are statutory, under the States Reorganisation Act, 1956; the North-Eastern Council is under a separate 1971 Act.

WRONG: The Inter-State Council itself is a constitutional body.

CORRECT: Article 263 is a constitutional provision, but the Council itself was created by executive order in 1990.

MAINS ANGLE

Why has the Inter-State Council remained under-used as an institutional forum for Centre-state coordination?

STUDY LINK

Cross-link Module 9 for how the Inter-State Council's advisory function complements water-dispute tribunals.

HIGH

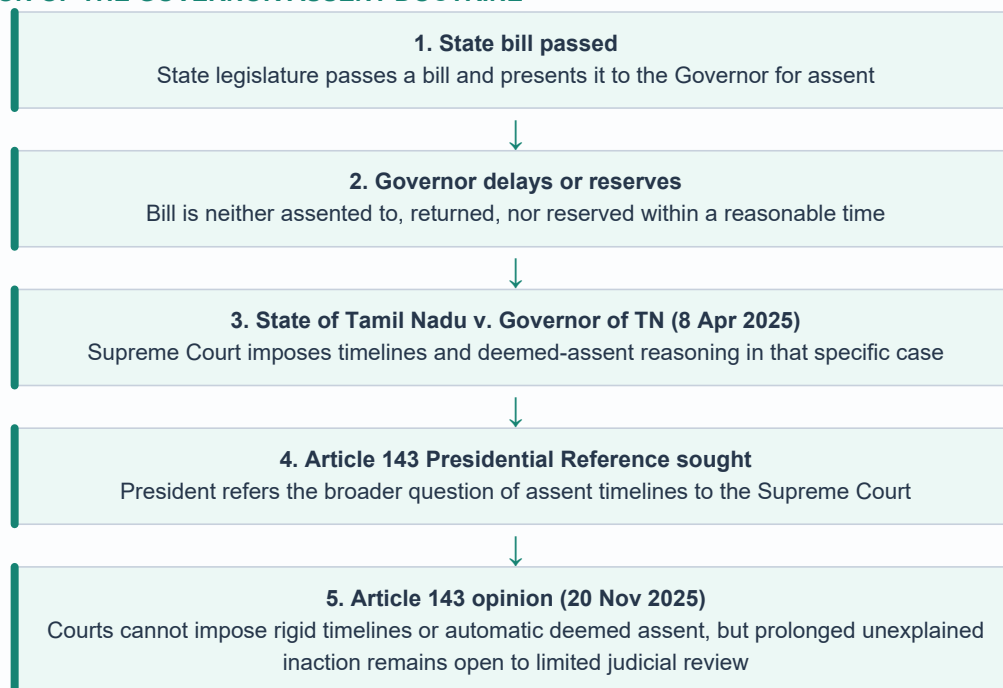
11. Governor Assent Doctrine - a Landmark Federal Dispute

GS-II Polity -
Inter-State
Relations

NEWS TRIGGER

State of Tamil Nadu v. Governor of Tamil Nadu (8 Apr 2025) imposed timelines and deemed assent in its case-specific reasoning; the later Article 143 opinion, In re: Assent, Withholding or Reservation of Bills (20 Nov 2025), held that courts cannot create rigid timelines or automatic deemed assent, while prolonged, unexplained, indefinite inaction remains open to limited judicial review.

EVOLUTION OF THE GOVERNOR ASSENT DOCTRINE



MUST-KNOW FACTS

1. The 20 Nov 2025 Article 143 opinion is the controlling position on Governor assent - it rejects rigid judicial timelines and deemed assent, while keeping indefinite inaction reviewable.

UPSC TRAPS

WRONG: The Supreme Court has fixed a rigid timeline for gubernatorial assent to bills.

CORRECT: The 20 Nov 2025 Article 143 opinion rejects rigid timelines/deemed assent, though prolonged unexplained inaction remains reviewable.

MAINS ANGLE

Governor's discretion over state bills vs cooperative federalism - where should the constitutional line be drawn?

STUDY LINK

Cross-link 19_Governor-CM-State-Council for the Governor's discretionary powers over bill assent generally.

HIGH

12. Legislative Doctrines: Pith and Substance, Colourable Legislation, Repugnancy

GS-II Polity -
Legislative
Doctrines

INTRO & ORIGIN

These judicial doctrines test legislative competence under the Seventh Schedule and resolve conflicts on Concurrent List subjects.

KEY DATA

Doctrine	Core Test	Result / Article Link
Pith and Substance	What is the true nature and dominant purpose of the law?	Incidental encroachment into another list does not invalidate the law
Colourable Legislation	Is the legislature doing indirectly what it cannot do directly?	The law is invalid if its real substance is beyond legislative competence
Repugnancy (Art 254)	Do Union and state laws conflict on a Concurrent List matter?	Union law prevails; a Presidential-assented state law may prevail in that state until Parliament overrides it

STATIC THEORY

- These doctrines protect the federal balance by testing the substance of a law, not merely the label used by the legislature.
- Courts use pith and substance and colourable legislation to decide legislative competence, and repugnancy specifically for Concurrent List conflicts.

MEMORY HOOK

Repugnancy is mainly a Concurrent-List conflict rule; pith-and-substance is a competence test across lists.

MUST-KNOW FACTS

1. Article 254 is the constitutional basis for resolving repugnancy between Union and state laws.

UPSC TRAPS

WRONG: Pith and substance and repugnancy are the same doctrine.

CORRECT: Pith and substance tests legislative competence across lists; repugnancy (Art 254) resolves Concurrent-List conflicts specifically.

MAINS ANGLE

How do these judicial doctrines prevent legislative competence disputes from paralysing Centre-state lawmaking?

STUDY LINK

Cross-link Module 2 for the Seventh Schedule division these doctrines interpret.

HIGH

13. UPSC Traps - Centre-State Relations (Consolidated)

GS-II Polity -
Centre-State
Relations

MEMORY HOOK

Eight traps, one theme: what looks constitutional/binding is often statutory/persuasive, and the Centre almost always holds the stronger hand.

MUST-KNOW FACTS

1. Concurrent conflict is resolved in favour of Central law, unless the state law received the President's assent.
2. The Finance Commission is described as the 'balancing wheel of fiscal federalism.'
3. GST Council recommendations are persuasive, not binding (Mohit Minerals, 2022).

UPSC TRAPS

WRONG: Residuary powers rest with the states.

CORRECT: They rest with the Centre (unlike the USA).

WRONG: The 42nd Amendment shifted subjects from Concurrent to State.

CORRECT: It shifted 5 subjects from State to Concurrent.

WRONG: Article 249 needs a national emergency.

CORRECT: It needs only a Rajya Sabha two-thirds resolution.

WRONG: Zonal Councils are constitutional bodies.

CORRECT: They are statutory, under the SRA 1956; the NEC is under a 1971 Act.

WRONG: The Finance Commission is a permanent body.

CORRECT: It is constituted every fifth year or earlier; 'quasi-judicial' is a descriptive label, not a constitutional classification.

WRONG: The Inter-State Council is a fully constitutional body.

CORRECT: Article 263 is a constitutional provision, but the Council itself was created by executive order in 1990.

WRONG: GST Council recommendations bind the states.

CORRECT: They are persuasive only (Mohit Minerals, 2022).

WRONG: The Supreme Court always has jurisdiction over water disputes.

CORRECT: Article 262 lets Parliament exclude it.

MAINS ANGLE

Use this consolidated trap list as a final accuracy check before attempting any Centre-state-relations Prelims or Mains answer.

STUDY LINK

Revise alongside Module 3 (Art 249-356), Module 7 (Finance Commission) and Module 8 (GST Council) before an exam attempt.

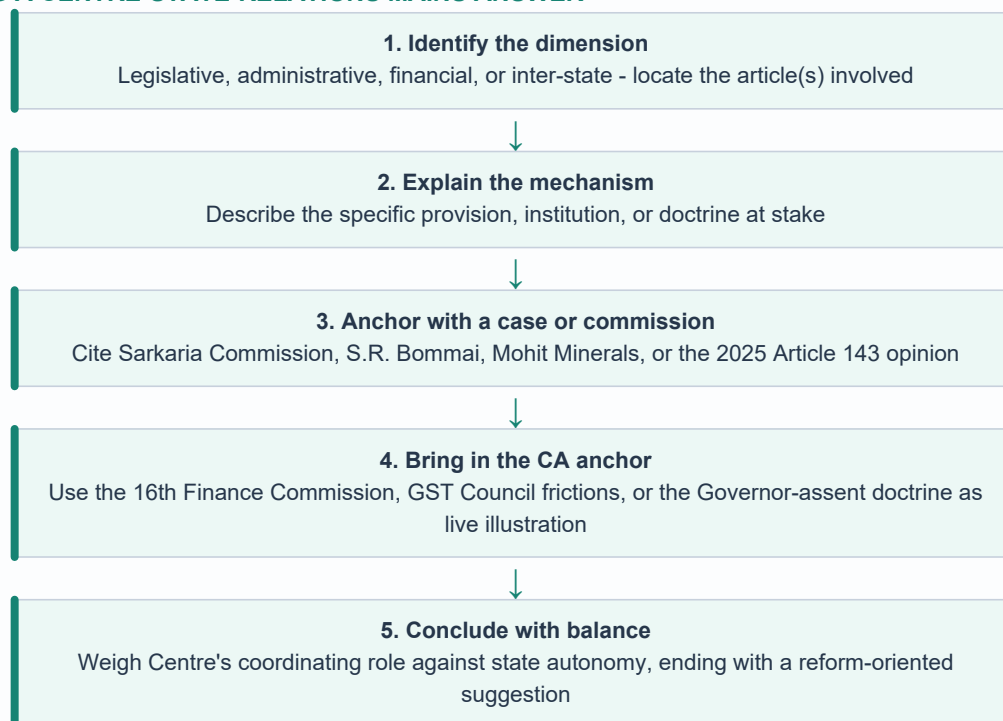
HIGH**14. Mains Angles and Verified PYQ Applications**

**GS-II Polity -
Centre-State
Relations**

KEY DATA

PYQ	Marks / Words	Answer Route
2024 GS-II Q13: 'What changes has the Union Government recently introduced in the domain of Centre-State relations? Suggest measures to build trust between the Centre and the States and for strengthening federalism.'	15 marks / 250 words	Fiscal/GST developments, Governor-assent friction, centrally sponsored schemes and intergovernmental consultation -> propose predictable transfers, regular councils, bounded discretion, and negotiated implementation.
2025 GS-II Q14: 'Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?'	15 marks / 250 words	Trace the Planning Commission/NDC discretionary-transfer era -> the Finance Commission/NITI/GST era -> 14th-16th FC devolution, cesses and conditional transfers -> conclude with gains in rules-based sharing alongside continuing vertical imbalance.

BUILDING A CENTRE-STATE-RELATIONS MAINS ANSWER



MAINS ANGLE

'The Finance Commission is the balancing wheel of fiscal federalism.'
Examine amid 16th FC debates, and assess whether Governor's discretion over state bills is compatible with cooperative federalism.

STUDY LINK

Use this framework for all Module 1-13 themes when converting them into a 15-mark GS-II answer.